

26STCV01971 26STCV01971

County: los-angeles

Division: Civil Law and Motion

Department: 11

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Case Number: 26STCV01971 Hearing Date: September 22, 2026 Dept: 11

Scott (26STCV01971)

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Tentative Ruling Re: Motion to Compel Arbitration

Date: 9/22/26

Time: 11:00 am

Moving Party: CG Hospitality

Group, Inc. ("CG Hospitality") and Perian Management Co. ("Perian") (collectively "Defendants")

Opposing Party: Matthew Scott

("Plaintiff")

Department: 11

Judge: Bruce G. Iwasaki

TENTATIVE RULING

Defendants' motion to compel arbitration is granted, the class claims are stricken, and the case is stayed as to the representative claim under the Private Attorneys General Act ("PAGA").

BACKGROUND

CG Hospitality operates Round Table
Pizza restaurants in California.

Perian “is a management
company engaged by CG Hospitality to assist with the operation, management, and
human resources functions of its restaurant locations.” (Abergel Decl., ¶
2.)

Plaintiff used to work at a Round Table Pizza in Tulare,
California. He alleges that CG
Hospitality and Perian jointly employed him and subjected him and other current
and former employees to numerous wage-and-hour violations.

Here, CG Hospitality and Perian move
to compel Plaintiff’s individual claims to arbitration.

DEFENDANT’S EVIDENTIARY OBJECTIONS

Defendant’s objections 1, 3 and 6 are
sustained. Objections 2, 4, 5, 7, and 8 are overruled.

DISCUSSION

Existence and Assent

“[W]hen a petition to compel arbitration is filed and
accompanied by prima facie evidence of a written agreement to arbitrate the
controversy, the court itself must determine whether the agreement exists and .
. . whether it is enforceable.” (Rosenthal
v. Great Western Financial Securities Corp. (1996) 14 Cal.4th
394, 413.) “[T]he threshold question . . . is whether
there is an agreement to arbitrate.”
(Cruise v. Kroger Co. (2015) 233 Cal.App.4th 390, 396,
emphasis in original.)

Fundamentally, determination of the existence of an arbitration
agreement is a three-step process.

“First, the moving party bears the burden of producing ‘prima facie

evidence of a written agreement to arbitrate the controversy.” (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165.)

“The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’” (Ibid.) In the alternative, “the moving party can meet its burden by setting forth the agreement’s provisions in the motion.” (Ibid.)

“If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement.” (Ibid.) “The opposing party can do this in several ways.” (Ibid.) “For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Ibid.)

“If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (Ibid.) “The burden of proving the agreement by a preponderance of the evidence remains with the moving party.” (Id. at 165-166.)

Defendants pass the first step. A copy of the arbitration agreement is physically included with the moving papers. (See Regan Decl., Ex. A; see also Gamboa, supra, 72 Cal.App.5th at 165.)

For the second and third steps, Plaintiff challenges the assent element. Plaintiff admits that, during onboarding, he clicked the e-signature button to e-sign the arbitration agreement and other onboarding documents. (See Scott Decl., ¶¶ 3-5; see also Opposition, pp. 2-4.). He appears to claim assent is lacking because “I did not download, open, or read the onboarding documents because I did not have the data to do so.” (Scott Decl., ¶5.) Scott does not explain what he means by “data” he lacked. He does not say that he attempted to download or read onboarding documents, only that he did not do so. He also testified that the “only text on each

page said: 'By signing this document electronically, you agree that your electronic signature is the legal equivalent of you signing this document in writing.'" (Ibid.) But Exhibit B to Scott's declaration states that one of the forms he signed was entitled (following an exclamation point and appearing to be a hypertext link) "Perian_CG_Hospitality_Arbitration_Agreement." Scott's declaration omits this.

Plaintiff's contention regarding lack of assent to the arbitration agreement lacks evidentiary support. Failure to read and understand is not a defense. (See Knight, et al., Cal. Practice Guide: Alternative Dispute Resolution (The Rutter Group 2026) ¶ 5:90.) In addition, there is no statement under penalty of perjury stating that Plaintiff requested extra time to read the onboarding documents or assistance from an attorney or other consultant to explain the meaning of the arbitration terms or that Defendants denied such requests, assuming they were made.

Defendants' burden is satisfied. An agreement to arbitrate exists.

Federal Arbitration Act ("FAA")

Plaintiff contends the FAA is inapplicable because Defendants fail to show that "the employment relationship between Plaintiff and Defendants had 'a specific effect or bear[ing] on interstate commerce in a substantial way.'" (Opposition, p. 4, emphasis deleted.)

The FAA applies if the plain language says it applies or if "the underlying contract facilitates interstate commercial transactions or directly or indirectly affects" interstate commerce. (Knight, supra, at ¶ 5:50.2, emphasis deleted.) Section 5 of Defendants' agreement states:

This Agreement and its validity, construction, and performance is governed by the Federal Arbitration Act (the "FAA") and cases decided thereunder and, to the extent relevant, the laws of the State of California. Further, the terms and procedures governing the enforcement of this Agreement must be governed by and construed and enforced in accordance with the FAA, and not individual state laws regarding enforcement of arbitration agreements.

(Regan Decl., Ex. A, p. 3, § 5.) The wording renders the FAA controlling.[1]

Unconscionability and Enforcement

Unconscionability is a contract defense that can be utilized to “invalidate [an] arbitration agreement[.]” (*Torrecillas v. Fitness International, LLC* (2020) 52 Cal.App.5th 485, 492.)

Courts apply state law to test whether the agreement is unconscionable. (See, e.g., *Lagatree v. Luce, Forward, Hamilton & Scripps* (1999) 74 Cal.App.4th 1105, 1119.)

“[U]nconscionability has both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114, internal quotation marks omitted.) “The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (*Ibid.*) “But they need not be present in the same degree.” (*Ibid.*) “Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.” (*Ibid.*) “In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Ibid.*)

The burden belongs to the party opposing arbitration. (See *Ajamian v. CantorCO2e, L.P.* (2012) 203 Cal.App.4th 771, 795.)

Procedural Element: Plaintiff claims the arbitration agreement constitutes a contract of adhesion. He further states that he felt pressured to sign, that he did not get a chance to read the agreement, that he did not receive attorney assistance, and that Defendants failed to give him hard copies of the onboarding documents. (See *Opposition*, pp. 9-10; see also *Scott Decl.*, ¶¶ 3-8.)

The Court disagrees. “[A] predispute arbitration agreement is not

invalid merely because it is imposed as a condition of employment.” (Lagatree, supra, 74 Cal.App.4th at 1122.) Moreover, to repeat, failure to read and understand is not a defense (see Knight, supra, at ¶ 5:90), and there is no statement under penalty of perjury stating that Plaintiff requested extra time to read the onboarding documents or assistance from an attorney or other consultant to explain the meaning of the arbitration terms or that Defendant denied such requests, assuming they were made.

Substantive element: Plaintiff contends the agreement (1) is one-sided in that it requires him to arbitrate against third-party entities that do not similarly agree to arbitrate in return (see Opposition, pp. 10-11 [citing Phan v. Knight Sacramento SU Inc. (2026) 121 Cal.App.5th 641 and Cook v. USC (2024) 102 Cal.App.5th 312]), (2) contains a class-action waiver that runs afoul of the Gentry rule (see id. at pp. 12-14), (3) waives the right to a jury trial (see id. at p. 14), and (4) waives the right to bring a representative PAGA claim. (See id. at pp. 11-12.)

Point (1) fails. Phan relies on Cook. The overarching problem with the Cook agreement was the unlimited scope. (See Cook, supra, 102 Cal.App.5th at 321-325.) It covered “all claims, whether or not arising out of Employee’s University employment[.]” (Ibid.) Nothing was excluded. (See id. at 317, 322-324.) By contrast, Defendants’ agreement only covers “dispute[s] that arise[] out of or relate[] to Employee’s employment with Employer[.]” (Regan Decl., Ex. A, p. 1, § 1.) Given this material difference, Cook is distinguishable.[2]

Points (2) and (3) also fail. Plaintiff cites California rules to support these points. As he acknowledges, though, the FAA preempts the California rules. (See Opposition, pp. 11-14.)

Which brings the Court to point (4). Multiple opinions address the interplay among the FAA, representative PAGA claims, and representative-action waivers. The primary ones are Iskanian v. CLS Transportation Los Angeles, LLC (2014) 59 Cal.4th 348, Viking River Cruises, Inc. v. Moriana (2022) 142 S.Ct. 1906 (“Viking River”), and Adolph v. Uber Technologies,

Inc. (2023) 14 Cal.5th 1104.

Considering Iskanian, Viking River, and Adolph together, the standard approach in Department 11 has been to compel individual PAGA claims to arbitration and to stay representative PAGA claims until the arbitrations finish. The Court intends to do the same in Plaintiff's case.

Consequently, the level of procedural unconscionability is low, the level of substantive unconscionability is low, the agreement is enforceable, the motion to compel is granted, the class claims must be stricken, and the representative PAGA claim must be stayed.

This ruling applies with equal force to Perian. The right of nonsignatories to enforce is well settled. (See Knight, supra, at ¶ 5:262.) The rule applies in several instances. (See id. at ¶¶ 5:263, 5:265.7, 5:266.5, 5:266.7, 5:266.15 [either when the nonsignatory is a third-party beneficiary, employee, associate, agent, or assign or when equitable estoppel applies]; see also Marengo v. DirecTV LLC (2015) 233 Cal.App.4th 1409, 1419-1420 [holding that "a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are 'intimately founded in and intertwined' with the underlying contract obligations"].) At least two (agency and equitable estoppel) appear applicable and support Perian's position. (See First Amended Complaint, ¶¶ 1, 10-13 [alleging that all Defendants were agents, alter egos, and joint venturers and jointly employed Plaintiff]; see also Garcia v. Pexco, LLC (2017) 11 Cal.App.5th 782, 787-788 [applying the agency and equitable-estoppel examples in a joint-employer action]; Knight, supra, at ¶ 5:266.18a [discussing Garcia].)

CONCLUSION

Defendants' motion to compel arbitration of Plaintiff's individual wage and hour claims is granted. The class claims are stricken, and the case is stayed as to the representative PAGA claims.

At the hearing the court will set the date for a post-arbitration status conference.

[1]

Plaintiff argues that Labor Code sections 229 and 432.6 bar arbitration of his claims. (See Opposition, pp. 7-8.) Since the FAA applies, sections 229 and 432.6 do not apply.

[2]

The Court notes that newer case law teaches that Cook should be confined to the unique context that appeared there. (See, e.g., *Ayala-Ventura v. Superior Court* (2026) 119 Cal.App.5th 241, 255-258.)